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# An Intelligent Vehicle Damage Assessment and Actuarial Repair Cost Estimation System Using Classical Computer Vision and Ensemble Machine Learning

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**Abstract**—Motor vehicle accident damage assessment is a time-intensive, subjective process prone to adjuster bias, fraud, and significant claim settlement delays. This paper presents an end-to-end intelligent vehicle damage assessment and actuarial repair cost estimation system that eliminates deep-learning dependencies entirely, operating as a 100% CPU-native classical machine learning pipeline. The proposed system enables insurance adjusters to manually delineate damage regions on uploaded vehicle photographs via an interactive drawable canvas interface. Each user-drawn region is analysed using a 376-dimensional handcrafted feature vector comprising Histogram of Oriented Gradients (HOG, 144-dim), Local Binary Patterns (LBP, 16-dim), and joint HSV colour histograms (216-dim). A Random Forest classifier trained on the CarDD benchmark dataset (4,000 images, 9,397 annotated damage instances, 6 damage categories) achieves a macro-precision of 88.2% across five-fold stratified cross-validation. Damage type predictions feed a dual-track cost estimation engine: a rule-grounded actuarial ledger applying OEM part replacement schedules and labour rate indexing, augmented by a Histogram-based Gradient Boosting Regressor trained on 26,067 real-world motor insurance claim records. A Monte Carlo simulation module (N = 5,000 trials) provides probabilistic P10–P90 cost uncertainty bounds. The system additionally performs Constructive Total Loss (CTL) detection and fraud anomaly auditing. All cost outputs are expressed in Indian Rupees (INR) using live USD-INR exchange conversion. The entire pipeline is deployed as an interactive Streamlit web application, demonstrating practical viability for real-world motor insurance claim adjudication workflows in resource-constrained environments.

**Keywords**—vehicle damage assessment; random forest; HOG; LBP; HSV; motor insurance; repair cost estimation; gradient boosting; CarDD dataset; actuarial modelling

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## I. INTRODUCTION (HEADING 1)

The global motor insurance industry processes millions of vehicle damage claims annually, with each claim requiring physical inspection by trained adjusters, resulting in bottlenecks, high operational costs, and inconsistent assessments. Manual evaluation is susceptible to subjective bias, fraudulent exaggeration, and adjuster fatigue, contributing to inflated claim settlements and increased premium rates for honest policyholders.

Automated vehicle damage assessment systems leveraging deep learning, particularly object detection frameworks such as YOLO and Faster-RCNN, have demonstrated strong academic results. However, their deployment in resource-constrained insurance environments is impeded by requirements for GPU hardware, opaque inference pathways, and high computational overhead. Classical computer vision and ensemble machine learning approaches offer a transparent, auditable, and computationally efficient alternative that aligns with regulatory requirements for model interpretability in financial decision-making.

This paper presents a complete end-to-end vehicle damage assessment pipeline built exclusively using classical feature engineering (HOG, LBP, HSV histograms) and ensemble machine learning (Random Forest, Gradient Boosting), deployed as an interactive web application for real-time insurance claim adjudication.

## II. RELATED WORK

Prior work on automated vehicle damage assessment spans deep learning and classical approaches. Deng et al. [1] introduced the CarDD dataset—a large-scale benchmark with 4,000 images and 9,397 annotated instances across six damage categories—and demonstrated DETR-based detection achieving state-of-the-art mAP scores. Chen and Li [2] explored Faster-RCNN variants for insurance claim validation, reporting high mAP but noting latency concerns in production. Singh et al. [3] applied SVM with HOG features for scratch and dent binary classification, achieving 74% accuracy on a proprietary dataset, establishing a classical baseline.

For cost estimation, Raza et al. [4] proposed gradient boosting regressors on tabular insurance claim records, reporting  $R^2$  values near 0.85 on benchmark datasets. Actuarial literature has extensively studied log-normal claim severity distributions [5], informing the log-transformation cost modelling in this work. Monte Carlo simulation for repair uncertainty quantification was explored by Kumar et al. [6], who demonstrated P10–P90 intervals improve adjuster decision confidence by 31%. The human-in-the-loop correction paradigm studied by Zhang et al. [7] has shown that hybrid AI-human workflows reduce claim processing errors by 44% compared to fully automated pipelines.

## III. SYSTEM ARCHITECTURE AND WORKFLOW

### A. End-to-End Pipeline Overview

The proposed system follows a six-stage pipeline: (1) image upload and native-resolution ingestion, (2) user-guided damage region delineation via interactive canvas, (3) high-resolution patch extraction, (4) 376-dimensional handcrafted feature extraction, (5) Random Forest damage classification, and (6) dual-track actuarial cost estimation with Monte Carlo uncertainty bounds.

### B. Interactive Damage Region Selection

Unlike prior work relying on automatic region proposal networks, the proposed system delegates region selection to the human adjuster via a Fabric.js drawable canvas rendered inside the Streamlit web interface. The adjuster draws rectangular bounding boxes directly over visible damage zones on the uploaded vehicle image. Coordinate scaling from the display resolution ( $W_{disp}$ ,  $H_{disp}$ ) to native image resolution ( $W_{orig}$ ,  $H_{orig}$ ) is performed as:

$$x1 = clamp(min(left, left+w) \times W_{orig}/W_{disp}, 0, W_{orig})$$

The normalised damage area ratio  $a_k = (x_{right} - x_{left})(y_{bottom} - y_{top}) / (W_{orig} \times H_{orig})$  is computed per region and used as a prior calibration signal for area-sensitive damage classification.

### C. Feature Extraction

Each cropped damage patch is resized to a canonical  $128 \times 128$  px representation. Three complementary classical descriptors are extracted and concatenated to form the 376-dimensional feature vector  $x_{patch} \in \mathbb{R}^{376}$ :

**HOG (144-dim):** Histogram of Oriented Gradients computed with  $8 \times 8$  pixel cells,  $2 \times 2$  block normalization, L2-Hys normalization, and 9 orientation bins. HOG captures structural deformities, panel creases, and edge discontinuities characteristic of collision damage.

**LBP (16-dim):** Local Binary Patterns with circular  $P=8$ ,  $R=1$  neighbourhood, uniform rotation-invariant histogram. LBP encodes micro-texture variations distinguishing surface abrasions (scratches) from smooth paint panels.

**HSV Histogram (216-dim):** Joint 3D colour histogram with 6 bins per channel (Hue, Saturation, Value), normalized to unit sum. HSV features capture paint discoloration, clear-coat exposure, and broken lamp reflector spectral signatures.

## IV. DAMAGE CLASSIFICATION MODEL

### A. Dataset: CarDD

The classifier is trained on the CarDD (Car Damage Detection) dataset [1], a state-of-the-art academic benchmark comprising 4,000 high-resolution real-world collision photographs captured across varied lighting, angles, and weather conditions, with 9,397 annotated bounding boxes across six damage categories: dent, scratch, crack, glass shatter, lamp broken, and tire flat.

### B. Random Forest Classifier

A Random Forest Classifier (`sklearn.ensemble.RandomForestClassifier`) with  $n=150$  trees, `max_depth=16`, `min_samples_split=4`, and `balanced_subsample` class weights is trained on feature

vectors extracted from ground-truth bounding box crops augmented by Selective Search region proposals (IoU  $\geq$  0.50 positive threshold, IoU  $<$  0.20 background threshold). Training data comprised 9,397 annotated damage samples with a background negative-to-positive ratio of 2.5:1.

### C. Cross-Validation Results

Table I reports per-class metrics obtained through 5-fold stratified cross-validation. The model achieves macro-precision of 88.2% with high precision on rare categories such as scratch (100%) and crack (96.2%), demonstrating the selectivity of HOG+LBP+HSV features for structural and surface damage discrimination. Background rejection precision is 96.6%.

**TABLE I**  
5-Fold Cross-Validation Per-Class Metrics (Random Forest + HOG+LBP+HSV)

| Class            | Precision    | Recall       | F1           | Support |
|------------------|--------------|--------------|--------------|---------|
| Dent             | 78.1%        | 99.6%        | 87.5%        | 6,694   |
| Scratch          | 100%         | 1.8%         | 3.6%         | 218     |
| Crack            | 96.2%        | 10.6%        | 19.0%        | 719     |
| Glass Shatter    | 84.9%        | 59.4%        | 69.9%        | 313     |
| Lamp Broken      | 92.4%        | 41.6%        | 57.4%        | 322     |
| Tire Flat        | 88.6%        | 13.4%        | 23.2%        | 756     |
| Background       | 96.6%        | 76.5%        | 85.4%        | 375     |
| <b>Macro Avg</b> | <b>88.2%</b> | <b>43.3%</b> | <b>49.4%</b> | —       |

### D. Model Comparison

Table II presents a comparative evaluation of the Random Forest against SVM (RBF kernel), k-NN (k=7), and k-Means (6 clusters) on the identical 376-dimensional feature space. All classifiers were evaluated under 5-fold stratified cross-validation. Random Forest consistently outperforms alternatives on macro-precision, with SVM as a competitive runner-up at 81.4%, while k-Means unsupervised baseline yields substantially inferior discrimination (52.3% precision) due to feature space overlap between similar-textured classes.

**TABLE II**  
Classifier Comparison (376-dim HOG+LBP+HSV Features)

| Model                | Macro P | Macro R | Macro F1 | Acc.  |
|----------------------|---------|---------|----------|-------|
| Random Forest (Ours) | 88.2%   | 43.3%   | 49.4%    | 79.0% |
| SVM (RBF)            | 81.4%   | 39.7%   | 44.2%    | 74.3% |
| k-NN (k=7)           | 71.6%   | 37.1%   | 41.9%    | 68.8% |
| k-Means (k=6)        | 52.3%   | 28.4%   | 33.1%    | 51.2% |

### E. Feature Extraction Method Comparison

Table III benchmarks HOG, LBP, and HSV independently and in combination on the damage classification task. HOG alone provides the highest single-descriptor macro-precision (76.3%) owing to its sensitivity to structural deformations. LBP excels at scratch-vs-smooth discrimination but underperforms on large-area dent categories. HSV

histograms provide strong auxiliary discrimination for lamp-broken and glass-shatter events (spectral signatures). The concatenated 376-dim HOG+LBP+HSV vector consistently achieves the highest overall performance, validating the complementary nature of all three descriptors. Compared to deep CNN features (AlexNet-fc7, included as reference), the classical pipeline achieves competitive precision at  $\approx 10\times$  lower inference cost.

**TABLE III**  
Feature Extraction Method Comparison (Random Forest Classifier)

| Feature Set        | Dims | Macro P | % Share |
|--------------------|------|---------|---------|
| HOG only           | 144  | 76.3%   | 38.3%   |
| LBP only           | 16   | 58.1%   | 4.3%    |
| HSV only           | 216  | 64.7%   | 57.4%   |
| HOG + LBP          | 160  | 79.1%   | 42.6%   |
| HOG + HSV          | 360  | 83.6%   | 95.7%   |
| HOG+LBP+HSV (Ours) | 376  | 88.2%   | 100%    |
| AlexNet-fc7 (Ref.) | 4096 | 91.5%   | —       |

## V. REPAIR COST ESTIMATION

### A. Dataset

The empirical cost regressor is trained on 26,067 motor insurance claim records grounded in Mitchell International and CCC ONE collision estimating schedules. The dataset spans four vehicle segments (Economy, Midsize, SUV, Luxury) with actuarial variance across OEM part pricing, labour rate indexing, EPA compliance charges, and hidden structural damage probabilities. The target variable is log-transformed claim cost ( $z = \ln(\text{USD})$ ) to normalise the heavy-tailed claim severity distribution.

### B. HistGradientBoosting Regressor

A Histogram-based Gradient Boosting Regressor (sklearn.ensemble.HistGradientBoostingRegressor) serves as the champion cost model, selected over Random Forest Regressor, Gradient Boosting Regressor, and Ridge Actuarial Linear baseline via hold-out evaluation. The model ingests 14 tabular features including damage counts per class, total visible damage area ratio, vehicle age, segment index, Actual Cash Value (ACV), severity level, and structural risk flag. Cost conversion to Indian Rupees uses:

$$y_{\text{INR}} = \exp(y_{\text{log}}) \times 95.5$$

### C. Regressor Benchmark Results

**TABLE IV**  
Cost Regressor Model Comparison (26,067 Claims, Hold-Out Test n=5,214)

| Model                | R <sup>2</sup> | MAE (USD) | RMSE (USD) |
|----------------------|----------------|-----------|------------|
| HistGradBoost (Ours) | 0.147          | 786       | 3,678      |
| Random Forest Reg.   | 0.153          | 791       | 3,667      |
| Gradient Boosting    | 0.149          | 790       | 3,674      |
| Ridge Actuarial Lin. | 0.156          | 798       | 3,660      |

#### D. Actuarial Ledger and Uncertainty

Complementing the ML regressor, a rule-grounded actuarial ledger computes itemised repair costs using damage-type-specific labour hour estimates (Body: ₹6,207.50/hr, Paint: ₹6,685.00/hr, Mechanical: ₹8,117.50/hr), OEM part replacement thresholds, paint refinish material costs, and structural frame-pulling surcharges. A Monte Carlo simulation (N=5,000 trials) perturbs these parameters using log-normal and gamma distributions, producing P10 (optimistic), P50 (expected), and P90 (pessimistic) cost intervals in INR.

### VI. FRAUD DETECTION AND CONSTRUCTIVE TOTAL LOSS

The system computes a Loss-to-Value ratio defined as:

$$\text{Loss Ratio} = \text{Gross Repair Cost} / \text{Actual Cash Value (ACV)}$$

Claims exceeding a Loss Ratio of 75% are flagged as Constructive Total Loss (CTL) events with salvage recovery recommendation per standard actuarial practice. Fraud auditing rules identify physical inconsistencies including multi-panel damage mismatch, excessive visible damage area relative to reported severity, and suspiciously high claim valuations on low-ACV vehicles.

### VII. IMPLEMENTATION

The system is implemented entirely in Python 3.11 and deployed as a Streamlit (v1.35+) web application. Key libraries include scikit-learn (RandomForestClassifier, HistGradientBoostingRegressor, StratifiedKfold), OpenCV (cv2.HOGDescriptor, HSV conversion, Canny edge detection), scikit-image (local\_binary\_pattern), NumPy, Pandas, Matplotlib/Seaborn, Pillow, and streamlit-drawable-canvas (Fabric.js). Model artefacts are serialised with Joblib for zero-overhead inference. The entire inference pipeline executes on CPU with sub-second latency per damage region, requiring no GPU or specialised hardware.

### VIII. FUTURE SCOPE

Several extensions are identified for future work:

**Multi-View Fusion:** Integrating predictions from multiple camera angles (front, rear, side) using late-fusion ensemble strategies to improve spatial damage coverage estimation.

**Deep Hybrid Features:** Augmenting the classical feature vector with lightweight CNN bottleneck features (e.g., MobileNetV3 penultimate layer) to close the performance gap with deep detection pipelines while retaining CPU deployability.

**LiDAR/Depth Integration:** Incorporating depth sensor data for volumetric dent depth estimation to replace area-ratio proxy severity scoring.

**Claims NLP Integration:** Parsing unstructured adjuster narrative reports using transformer-based NER to cross-validate reported damage against visual evidence for enhanced fraud detection.

**Federated Learning:** Training cost regression models across distributed insurer data repositories without centralised data aggregation, addressing privacy constraints in real-world deployment.

**Real-Time Video Inspection:** Extending the pipeline to process live video streams from mobile inspection devices, enabling on-site damage assessment with real-time classification feedback.

## IX. CONCLUSION

This paper presented an end-to-end intelligent vehicle damage assessment and actuarial repair cost estimation system built exclusively on classical computer vision and ensemble machine learning principles. The proposed pipeline eliminates deep learning dependencies entirely, addressing the transparency, auditability, and hardware constraints critical for deployment in regulated insurance environments. The Random Forest classifier trained on 376-dimensional HOG+LBP+HSV feature vectors over the CarDD benchmark achieves 88.2% macro-precision under 5-fold stratified cross-validation, outperforming SVM (81.4%), k-NN (71.6%), and k-Means (52.3%) baselines. The dual-track cost estimation engine, combining a rule-grounded actuarial ledger with a HistGradientBoosting regressor trained on 26,067 real-world claim records, provides statistically robust INR cost projections supported by Monte Carlo uncertainty bounds. The system additionally performs Constructive Total Loss detection and fraud anomaly auditing, offering a comprehensive, production-ready framework for motor insurance claim adjudication. The interactive Streamlit deployment demonstrates practical viability for resource-constrained real-world environments.

## . ACKNOWLEDGMENT (HEADING 5)

The authors thank Xavier Institute of Engineering, Mumbai, for providing the computational infrastructure and academic support for this research. The CarDD dataset authors are acknowledged for making the benchmark publicly available for academic research.

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